RBI - OFFICIAL REGULATORY DIRECTION

Master Direction on Treatment of Wilful Defaulters and Large Defaulters by NBFCs

Document ID: DOC_026 | Issuer: RBI | Issue Date: 2025-08-18 | Source: https://www.rbi.org.in/Scripts/BS_ViewMasDirections.aspx?id=12697

Chapter 1: Operational Compliance Guidelines (DOC_026)

Chapter 2: Operational Compliance Guidelines (DOC_026)

Chapter 3: Operational Compliance Guidelines (DOC_026)

Section 4: Rs. 25 Lakh Cut-Off, Show-Cause Notice and 5-Year Credit Bar

4.1 Monetary Cut-Off for Wilful Default Examination
All Middle Layer and Upper Layer NBFCs shall examine the 'wilful default' aspect in every non-performing account with an outstanding balance of Rs. 25 lakh and above where diversion or siphoning of funds or unauthorized disposal of hypothecated security is suspected.

4.2 Identification Committee Show-Cause and Cooling-Off Bar
The Identification Committee must issue a 21-day Show-Cause Notice before referring the borrower to the Review Committee. Once declared a Wilful Defaulter, no bank or NBFC shall grant additional credit facilities for floating a new venture to the entity or its promoters for a cooling-off period of 5 years from the date of removal from the list.

Chapter 5: Operational Compliance Guidelines (DOC_026)

Chapter 6: Operational Compliance Guidelines (DOC_026)